

MGT 408: Finance

SPRING 2026, Evening MBA

Tuesdays 6:30pm-9:20pm, OTRSN 1E107

INSTRUCTOR:

William Mullins (wmullins@ucsd.edu)

TEACHING ASSISTANTS:

Sebastian Cifuentes (scifuentes@ucsd.edu)

EXAM DATE:

6:30pm-9:30pm Tuesday June 9, 2026, OTRSN 1E107

COURSE DESCRIPTION

This course is designed to provide you with a strong foundation in the fundamental concepts of finance. Students will learn how to estimate future cash-flows, employ appropriate discount rates, and use them to value assets and projects.

Topics include: the present value framework and the net present value rule; applying present value calculations to mortgages, bonds and stocks; the risk-return tradeoff, diversification and discount rates; leverage and its effect on returns; estimation of free cash-flows for project valuation; and capital budgeting using the WACC and APV approaches. Time permitting, the course will also introduce more advanced topics like real options, capital structure and corporate governance.

Prerequisites: None

COURSE MATERIALS

1) The required text for the course is Jonathan Berk and Peter DeMarzo, *Corporate Finance*, Prentice Hall, Sixth Edition (including MyFinanceLab for the quizzes) – available on Canvas (modules / RedShelf e-books)

2) All other material (e.g., the case, problem sets, articles, etc.) will be posted on Canvas.

EVALUATION AND GRADING:

Your course grade will be based on the following deliverables:

Assignments	Percentage of Final Grade
Problem Sets + case (team)	35%
Class Participation (individual)	5%
Peer review (individual)	5%
Quizzes (individual)	15%
Final Exam (individual)	40%

Quizzes: The quizzes will be completed online through MyFinanceLab. You can use the textbook and course materials, but nothing else.

Final Exam: The final exam will be in person and covers all material in the course.

All quizzes and the final exam must be completed individually. Absolutely no collaboration is allowed on the quizzes or the final.

Assignment due dates are given on the course website and are non-negotiable – in the interest of fairness and as required by the honor code, all students should face the same set of deadlines.

Problem Sets: The problem sets are a team assignment. Your answers should be very clear and show both the solution **and** how you obtained it; an undocumented spreadsheet is not considered a sufficient solution.

The problem sets are meant to be challenging. They are an opportunity to learn the material and explore it at a much deeper level. I expect you to try your best, but you don't have to get everything perfectly right to do well on them.

Case report: This should have a maximum length of 3 pages of text with an additional 3 pages of exhibits (for a maximum of 6 pages). The case report should use single space, 12 point type with 1 inch margins on all sides, and should be written in essay form, **not** in the form of individually answering the questions that accompany the case. Senior management is the intended audience. Finally, do not summarize the case situation in the report – assume everyone has read the case.

Class Participation: You are expected to be prepared for class, and constructively participate in class discussions. I will cold call in class, and your responses will affect your class participation grade. It is in your interest to attend class and it may affect participation grade.

Peer review: peer evaluations conducted at the end of the quarter incentivize you to be constructive team-members.

The course moves very quickly. Here are some suggestions that may be useful:

- **Before class:** Read the course handouts/slides. These focus on the most important concepts and provide examples to illustrate them. They are posted ahead of class, and reading through them is a great way to prepare for class. They are also largely self-contained and cover the material you are responsible for in the exams.
- **During class:** Ask questions. If there is something that you do not understand during class - either the specifics of an example, or terminology that you have not heard before - please stop me and ask. This discussion will also help put the concepts into context and will help your classmates understand the material more thoroughly.
- **After class:** Review the course handouts and supplement with the textbook. The readings in the book can deepen understanding and provide additional context. Reading the book and working through the problems are a great way to master a specific topic or concept you may be struggling with.

MBA GRADING POLICY FOR CORE COURSES

Please note the grade distribution policy below, which is imposed by Rady:

To achieve greater fairness in grading and more uniformity in grading across courses, the faculty in MBA core courses has agreed to the following guidelines regarding final grades.

The following grade distribution will be used for final (course) grades in core courses:

35% A- or A

30% B+

20% B

15% B- or below

Student questions about the grading of any exam or assignment, including (but not limited to) requests for re-grading, must be made in writing by the student within one week of when the exam or assignment was returned to the students. All questions must be submitted to the faculty in writing.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, **without unauthorized aid of any kind.**

The complete UCSD Policy on Integrity of Scholarship can be viewed at:

<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

Note that reading and/ or making use of online “case solutions,” both those found on the internet or obtained elsewhere, is not allowed.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

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SCHEDULE

The following class schedule is approximate. I will announce any major adjustments in class. Readings are optional but will deepen your understanding of the concepts covered in class.

Topic 1: Present Value: How to Value a Stream of Cash Flows – Class 1

- Time-value of money, examples of cash-flow streams (annuities, perpetuities)
 - Reading: Chapters 3 (including appendix), 4, 5

Topic 2: Applying Present Value Concepts – Class 2

- Apply PV calculations to value mortgages, stocks and bonds
 - Reading: Chapters 6.1 - 6.3 and 9.1 - 9.2

Topic 3: The Risk-Return Tradeoff, Diversification and Discount Rates – Class 3

- Diversification, systematic risk and Capital Asset Pricing Model
 - Reading: Chapters 10, 11, 12

Topic 4: Corporate Finance – Class 4-5

- The effect of debt on balance sheets, the Modigliani Miller Theorem, the effect of leverage on returns
 - Reading: Chapters 2, 14, 15.1 - 15.3

Topic 5: Free Cash Flows / Valuation - Class 6-7

- Estimating free cash-flows for project valuation *[Class 6]*
 - Reading: Chapter 8 (and 2)
- Project valuation using Adjusted Present Value and Weighted Average Cost of Capital *[Class 7]*
 - Reading: Chapters 7.1-7.2, 18.1 - 18.3, 18.5 - 18.7
- Introduction to Real Options *[if time allows]*
 - Reading: Chapters 22.1 - 22.2

Topic 6: Agency, Corporate Governance, Firm objectives and Corporate Social Responsibility– Class 8

- Agency, Corporate Governance, Firm objectives and Corporate Social Responsibility
 - Reading: Chapters 1, 29

Case: Airbus – Class 9

Class 10

- Wrap up unfinished material
- Review

Exam Week

- **In person** final exam 3/17/2025, 11:30am-2:30pm

Week	Deliverable	Due Date
2	Quiz (online)	Tuesday, before class
3	Quiz (online)	Tuesday, before class
4	--	--
5	Problem Set	Tuesday, before class <u>upload to Canvas</u>
6	Quiz (online)	Tuesday, before class
7	Quiz (online)	Tuesday, before class
8	Problem Set	Tuesday, before class <u>upload to Canvas</u>
9	Case	Tuesday, before class <u>upload to Canvas</u>
10	--	--
11	Exam	Tuesday June 9, in person